Leave and Time Off Policy

Version 3.2 | Effective January 1 | Owner: People Operations

1. Purpose and Scope

This policy explains the types of paid and unpaid leave available to full-time employees of Company Inc. in the United States. It applies from the first day of employment unless a section says otherwise. Part-time employees receive leave pro-rated to their scheduled hours.

If this policy conflicts with a state or local law that is more generous, the law applies. Questions can be sent to hr@company.com.

2. Annual Leave (PTO)

2.1 Accrual

Full-time employees accrue paid time off (PTO) at a rate of 1.67 days per month, which is 20 days per year. Accrual begins on the first day of employment and is shown in the HR portal on the Time Off page. New hires may use accrued PTO immediately; there is no waiting period.

2.2 Carry-over and payout

Up to 5 unused PTO days carry over into the next calendar year. Days above that limit expire on December 31. Unused PTO is paid out when employment ends, in accordance with state law.

2.3 Length of service

After 5 years of continuous service, the accrual rate increases to 2.08 days per month, which is 25 days per year.

3. Sick Leave

Employees receive 10 paid sick days per calendar year in addition to PTO. Sick days do not carry over. Sick leave can be used for your own illness or medical appointment, or to care for a family member who is ill.

A doctor's note is required only when you are out for more than 3 consecutive working days. Notify your manager as early as possible on the first day of absence, by chat or phone, and mark the days as Sick in the HR portal when you return.

4. Parental Leave

4.1 Birth parents

Birth parents receive 16 weeks of fully paid parental leave. The leave can begin up to 2 weeks before the expected due date and must be used within 12 months of the birth.

4.2 Non-birth, adoptive and foster parents

Non-birth parents, adoptive parents and foster parents receive 12 weeks of fully paid leave, taken within

12 months of the birth or placement.

4.3 Returning to work

Employees returning from parental leave may request a phased return of up to 4 weeks at 60 percent of their usual schedule, with no reduction in pay. Agree the plan with your manager and HR at least 30 days before your return date.

5. Company Holidays

Company Inc. observes 11 paid company holidays each year: New Year's Day, Martin Luther King Jr. Day, Presidents' Day, Memorial Day, Juneteenth, Independence Day, Labor Day, Thanksgiving Day, the day after Thanksgiving, Christmas Eve and Christmas Day.

If a holiday falls on a weekend, it is normally observed on the nearest weekday. The official holiday calendar is published in the HR portal each December for the following year.

6. Bereavement Leave

Employees may take up to 5 paid days of bereavement leave on the death of a spouse, domestic partner, child, parent or sibling. Up to 3 paid days are available for grandparents, grandchildren, parents-in-law and other close relatives. Bereavement leave does not reduce your PTO balance.

Additional unpaid time can be arranged with your manager and HR.

7. Jury Duty and Voting

Employees called for jury duty receive their regular pay for up to 10 working days. Share the summons with your manager as soon as you receive it. Employees may take up to 2 paid hours to vote on election day if their polling place is not open outside working hours.

8. How to Request Leave

Submit PTO requests in the HR portal under Time Off, then New Request. Requests of 1 to 4 days should be made at least 5 working days in advance. Requests of 5 days or more should be made at least 4 weeks in advance. Your manager approves or declines within 3 working days, and you will receive an email either way.

Parental leave is requested through HR directly rather than through the portal. Email hr@company.com with your expected dates at least 30 days before the leave starts, or as soon as possible in the case of an unplanned absence.